

Financial Reporting Project: Oracle Corporation

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ACCT 1201 10409

November 20, 2025 | Fall 2025

(1) Oracle Corporation is listed on the New York Stock Exchange under the ticker symbol of (2) ORCL. (3) The company is a global technology leader that provides comprehensive products and services to address enterprise information technology (IT) needs globally. As stated in its 2025 10-K report, Oracle's core business is centered on enterprise applications and infrastructure technologies. The company offers on-premises, cloud-based, and hybrid deployment models to meet the diverse needs of its customers. Some key product lines include Oracle Cloud Services, featuring Oracle Cloud Infrastructure (OCI); Oracle Database, one of the world's most widely used enterprise databases; and Oracle Engineered Systems, which integrates hardware as well as software.

(4) As of the end of its fiscal year on May 30, 2025, Oracle's stock closing price was listed as \$165.53. During the 2025 fiscal year, Oracle's stock performance was highly impressive. According to the 'Stock Performance Graph' in the 10-K, Oracle's cumulative total return significantly outperformed both the S&P 500 Index and the Dow Jones U.S. Technology Total Return Index. While the fiscal year ended in May showing strong growth, the calendar year trend reveals significant volatility. From January 1, 2025, the stock rallied to an all-time high of \$345.72, but has recently undergone a sharp correction, falling approximately 42% from its peak to trade at \$198.76 as of November 23, 2025. Despite this recent pullback, the stock price remains higher than its level at the start of the year, maintaining a net positive year-to-date return, demonstrating a strong upward trend. While the S&P 500 demonstrated a steady, linear growth of approximately +26.10%, Oracle's stock exhibited extreme volatility driven by AI speculation (see Appendix A). This reflects the company's solid performance and the market's high expectations for its AI and cloud initiatives as well.

Oracle's 2025 10-K report illustrates the company's rich growth and aggressive future investments simultaneously. (1) Oracle's Net Income grew robustly over the past three years,

from \$8,503M in 2023 to \$12,443M in 2025. Earnings surged by 23.10% in 2024 and continued with a strong 18.88% growth in 2025. This consistent double-digit growth demonstrates that the company's core business is generating strong profits. **(2)** Conversely, the Gross Margin Percentage showed a slight but consistent decline, from 82.4% in 2023 to 78.5% in 2025. The 10-K attributes this to an increase in 'cloud services and license support expenses,' specifically rising infrastructure costs associated with the expansion of Oracle Cloud Infrastructure, OCI. This suggests the company is firmly investing in AI and cloud market share, sacrificing some short-term profitability.

(3,4) Most notably, the 2025 Cash Flow from Operations of \$20,821M significantly exceeded the Net Income of \$12,443M. Based on the 10-K Statement of Cash Flows, the primary factors are large non-cash expenses, principally stock-based compensation of \$4.7B, Depreciation of \$3.9B, and Amortization of intangible assets of \$2.3B, which are added back to net income to calculate operating cash flow. This signifies that Oracle has a much stronger cash-generating capability than net income alone suggests. Furthermore, Stockholders' Equity increased considerably from \$9,239M in 2024 to \$20,969M in 2025, primarily due to the \$12,443M in net income. **(5)** As of 2025, Oracle's capital structure consists of 87.55% Debt and 12.45% Equity. This indicates a highly leveraged financial structure where assets are primarily financed by debt, which connects to Oracle's core strategy analyzed in the solvency section.

(6) Oracle's 2025 10-K report was audited by the independent registered public accounting firm Ernst & Young LLP. The purpose of the audit, as stated in their report, was to express an opinion on whether the financial statements were presented fairly, in all material respects, in conformity with the U.S. GAAP, which resulted in an unqualified opinion. As a Critical Audit Matter, the firm noted the complexity and significant management judgment required to account for Uncertain Tax Positions, specifically regarding intercompany transfer

pricing. Additionally, as noted in the 10-K, Oracle utilizes the straight-line method for depreciation and values its inventory at the lower of cost or net realizable.

Oracle's financial ratios reveal a strategic intent that goes beyond traditional financial analysis. **(i)** First, regarding profitability, which generally measures a company's ability to generate earnings relative to its revenue, operating costs, and balance sheet assets, the ROE (Return on Equity) for Oracle was 82.4% in comparison to SAP's value of 7.08%. For ROA (Return on Assets), Oracle's value was 8.04%, while SAP's was 4.42%. Oracle posts a phenomenal 82.4% ROE, overwhelming its competitor SAP who had a 7.08% ROE. This high ROE is not just from operational efficiency (ROA 8.04% vs. SAP's 4.42%) but is also a result of successfully utilizing the aggressive financial leverage (D/E 7.03) discussed in the Solvency section.

(ii) Regarding turnover, which used to measure how efficiently a firm employs its assets to generate revenue or cash, Receivable Turnover of Oracle was 6.99, and SAP's was 5.22. For Inventory Turnover, Oracle was 38.78, and SAP was unable to find, and assumed not applicable due to business model. In terms of activity, Oracle collected on its receivables (6.99) slightly faster than SAP (5.22). The Inventory Turnover of 38.78 appears highly efficient; however, this metric must be viewed with caution. As a company whose revenue is 86% derived from cloud and license sales, Oracle's business model is not inventory intensive. The 10-K confirms inventories are minimal of \$303M. Therefore, this ratio is not a relevant key performance indicator for Oracle's core business model.

(iii) For liquidity, which indicates a company's ability to meet its short-term debt obligations without raising external capital, the Current Ratio comparison is Oracle's value of 0.75, in comparison to SAP's value of 1.12. Additionally, the Quick Ratio for Oracle is 0.61, and SAP's is 0.94. From a traditional standpoint, a Current Ratio below 1.0 indicates a

company may struggle to meet its short-term obligations. Oracle's ratio of 0.75, and its even lower Quick Ratio of 0.61, is a clear risk signal. However, an analysis of the 10-K Statement of Cash Flows reveals this is not a sign of financial distress but the result of intentional, strategic cash deployment. Oracle also executed a massive \$21.2 billion (\$21,215B) in capital expenditures (CapEx) in fiscal 2025 alone to build out AI and OCI data centers. It is important to note that while Oracle's spending surge is particularly aggressive, it is part of a mandatory, industry-wide hyperscaler investment cycle. This spending is not driven by choice, but by necessity. A recent KCIF report highlights the core problem: the demand for AI computing power is growing at an exponential rate, approximately 420% annually, while cost-saving efficiencies are only improving at a linear rate, approximately 40% annually (KCIF, 2025). This 10x structural gap forces all major players such as Amazon, Google, Microsoft, and Oracle to pour capital into infrastructure, an "investment based on fear", simply to remain competitive (KCIF, 2025, p. 3). While this explains the low ratio, it also exposes a significant risk. 10-K analysis confirms that Oracle's CapEx spending grew by +209%, from \$6.8B to \$21.2B, while its Operating Cash Flow grew by only +11.5%, from \$18.6B to \$20.8B (see Appendix B). This massive cash flow deficit, funded by new debt, is the true source of the liquidity strain.

(iv) Regarding solvency, which evaluates a company's long-term financial stability and its ability to meet long-term debt obligations, the Debt-to-Equity Ratio comparison for Oracle is 7.03, while SAP 0.62. The Times Interest Earned for Oracle is 4.96, and for SAP it is 11.16. The liquidity analysis leads directly to solvency, specifically the Debt-to-Equity ratio of 7.03. This indicates extremely high financial risk compared to SAP's value of 0.62. However, this high debt is functioning as a strategic leverage, which will be discussed in the recommendation section, to support the \$21.2B in CapEx and enable the 82.4% ROE. With a Times Interest Earned ratio of 4.96, well above 1.0, the company has sufficient earnings to

cover its interest payments, suggesting the leverage is currently manageable.

(v) Regarding Market Ratios, which provide insight into what investors think of a company's risk and future growth prospects, in terms of the EPS (Earnings Per Share), Oracle's was \$4.46, while SAP's was \$2.80. The P/E (Price/Earnings) Ratio for Oracle was 37.11, while SAP was 88.88. Despite generating higher earnings per share (EPS \$4.46), the market values Oracle at a much lower P/E ratio of 37.11 in comparison to its competitor SAP's value of 88.88. This suggests the market is either overvaluing SAP's growth or that Oracle's strong fundamentals and AI investment story may not yet be fully reflected in its stock price, and potentially undervalued. However, this P/E ratio must be contextualized by the significant uncertainty surrounding AI profitability. As noted in a recent KCIF report, while AI infrastructure spending, such as Oracle's CapEx, is booming, the actual monetization of AI models and apps remains "meager" (KCIF, 2025, p. 5). With B2C users reluctant to pay and B2B users slow to adopt due to security and reliability concerns, the market is shifting from hype surrounding AI to demanding proof of profitability. Therefore, Oracle's lower P/E ratio may also reflect the market's rational skepticism about when or if the \$21.2B in CapEx will translate into both tangible and profitable revenue.

Based on the analysis presented previously, specific recommendations can be offered to the different stakeholder groups. (a) For short-term creditors, Oracle portrays a mixed picture that needs careful consideration. The company's current ratio of 0.75 and quick ratio of 0.61 are both below the critical 1.0 threshold, suggesting a clear risk signal for a short-term creditor. Even if this is a result of strategic investment, the short-term liquidity position is numerically weak. However, this concern is substantially mitigated by Oracle's robust cash flow from operations, which totaled \$20.8B, demonstrating that the company has the capacity to meet its payment obligations despite the ratio metrics. Therefore, the recommendation for short-term creditors is to proceed with caution in terms of extending credit to Oracle.

(b) From a long-term creditor's perspective, the best solution in this case would be to loan with caution. Oracle demonstrates a stable Times Interest Earned ratio of 4.96, solid ROA of 8.04%, and consistent net income growth, supporting its credit profile. Nevertheless, the primary risk identified in the solvency ratio from our analysis of the 10-K and a KCIF report, is the sustainability of its CapEx strategy (KCIF, 2025). Oracle's CapEx/Sales ratio exploded from 13.0% in 2024 to 37.0% in 2025. More concerning, CapEx spending growth of 209% is massively surpassing operating cash flow growth of just +11.5%. This divergence creates a structural cash deficit that relies on continuous new debt issuance. Recent market data reveals that the cost to insure Oracle's debt through Credit Default Swaps (CDS) has spiked to a two-year high, near 80 basis points, signaling that credit markets are actively pricing in this heightened risk (Shukla, 2025). Furthermore, the KCIF report specifies that Oracle's 'Net Debt/EBITDA' ratio is 383%, the highest among major AI peers, raising significant solvency concerns (KCIF, 2025, p. 7).

However, this massive debt financing must be viewed in its broader macro-context. A recent JPMorgan analysis estimates the AI data-center boom will require over \$5 trillion in capital, including \$1.5 trillion from the investment-grade bond market alone over the next five years (Swezey, 2025). This analysis also highlights that Oracle's aggressive financing is not an isolated act of risk-taking but rather a 'necessary' industry-wide trend (Swezey, 2025). Moreover, the spike in CDS spreads can be interpreted as a natural consequence of hedging demand rather than solely a sign of distress. As Oracle issues large volumes of new corporate bonds to fund its AI expansion, institutional investors purchasing these bonds simultaneously buy CDS protection to manage their exposure. Therefore, the rising spread reflects, in part, the sheer scale of debt issuance and the associated technical hedging activity. Thus, while caution is warranted, we recommend 'loan with caution' rather than a simple 'loan'.

(c) For Investors, Oracle is utilizing a strategic leverage in order to execute an

aggressive investment campaign to win in the AI era. The high D/E ratio of 7.03 is not just a risk but the engine creates a phenomenal 82.4% ROE and funding AI-related ventures (CapEx \$21.2B). Given its strong net income growth of 18.85% and an EPS of \$4.46, the P/E ratio of 37.11 is significantly undervalued compared to its competitor SAP's value of 88.88, offering an attractive entry point (see Appendix C).

In the discussion of potential risks and rebuttals, this strategy is a double-edged sword. The primary risks are the Cash Flow Strain identified above and accusations of 'accounting earnings inflation', as raised by 'Big Short' investor Michael Burry (Li, 2025). Additionally, as analyzed in the creditor section, Oracle's 383% Net Debt/EBITDA ratio, the circular investment allegations with Nvidia, and the physical limit of shortages in power are all significant counterarguments to a 'buy' thesis (KCIF, 2025). Burry criticizes AI hyperscalers for artificially inflating earnings by setting unrealistically long useful lives, greater than 2-3 years, for AI chips, thereby understating depreciation expenses (Li, 2025). Indeed, Oracle's 2025 10-K report discloses that in the first quarter of the fiscal year of 2025, it increased the estimated useful life of its servers and networking equipment from 5 to 6 years. It also explicitly states that this change increased net income by \$573M in 2025.

However, this 2-3 years cycle critique is strongly contested by hyperscalers as oversimplifying the operational reality of AI infrastructure. This operational reality was recently confirmed by Microsoft CEO Satya Nadella. In a November 2025 podcast interview, Nadella directly refuted the 2-3 years claim, explaining that AI hardware has a "tiered lifecycle" (Patel, 2025). Nadella detailed that new, N-generation chips are used for intensive 'Frontier Training,' while older N-1 and N-2 generation chips are repurposed for 'Fine-tuning,' and even older chips (N-3, N-4) are used for large-scale 'Inference' workloads (Patel, 2025). He provided a concrete example, stating that many of Microsoft's inference jobs still run on 5-year-old T4 GPUs (Patel, 2025). He concluded that a 4 or 5-year useful life is most likely

accurate and that Microsoft is "if anything, conservative" regarding its estimates (Patel, 2025). This CEO-level confirmation aligns perfectly with Oracle's accounting change. It suggests that Oracle's move from a 5 to 6-year useful life is not 'artificial earnings inflation' but a 'reasonable accounting estimate change' that reflects the operational reality of a tiered (training to inference) hardware lifecycle.

In conclusion, Oracle's aggressive financial strategy is backed by strong fundamentals. The 2025 accounting policy change of \$573M is judged to be a reasonable operational adjustment that is supported by industry leaders, and reflective of the tiered lifecycle of AI hardware. The primary risk, the exploding CapEx/Sales ratio of 13% to 37%, and its reliance on debt, which is evident by the rising CDS spread and a 383% Net Debt/EBITDA ratio is significant, but as JPMorgan's analysis suggests, this is a necessary industry-wide phenomenon to compete in the \$5 trillion AI infrastructure boom (Swezey, 2025). Given that Oracle's strong performance is available at a P/E ratio of 37.11, which is less than half of its competitor (SAP, 88.88), the stock offers a compelling value, leading to a buy with caution recommendation.

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Appendix A



Figure 1. Comparison of Oracle Corporation (ORCL) and S&P 500 ETF (SPY) Performance (June 2024 – Nov 2025).

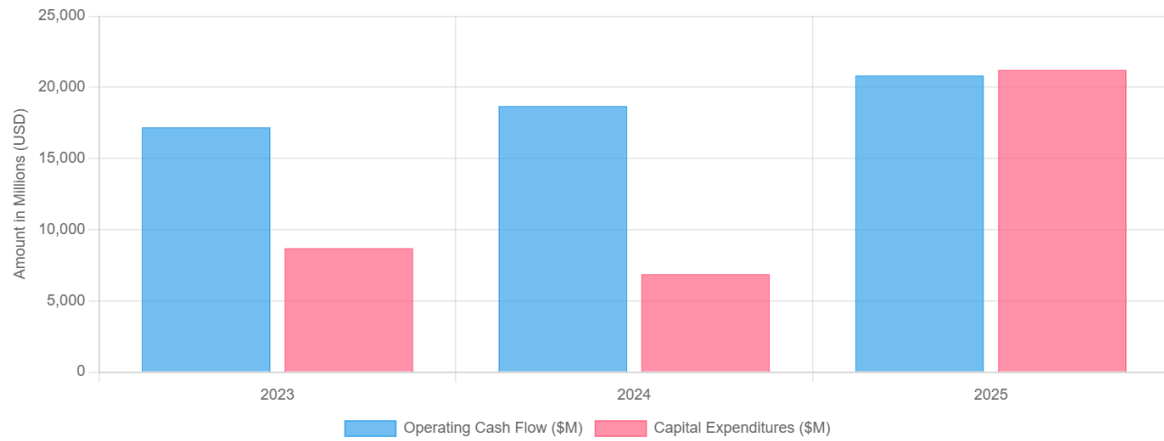
Note. The candlestick chart illustrates Oracle's daily price movements, while the orange trendline tracks the performance of the S&P 500 ETF (SPY) as a benchmark. Created by Kenneth Kim using TradingView.

Appendix B

Appendix B: Liquidity Strain Analysis

Operating Cash Flow vs. Capital Expenditures (2023-2025)

Risk Signal: CapEx Surge



💡 **Analysis Point:** While Operating Cash Flow (Blue) grew steadily (+11.5%), CapEx (Red) exploded by **+209%** in 2025. This visualizes the "Investment based on Fear" strategy to secure AI infrastructure.

Figure 2. Oracle Corporation Operating Cash Flow vs. Capital Expenditures (Fiscal Year 2023–2025).

Note. Calculation based on Oracle Corporation 2025 Form 10-K and SAP SE 2024 20-F.

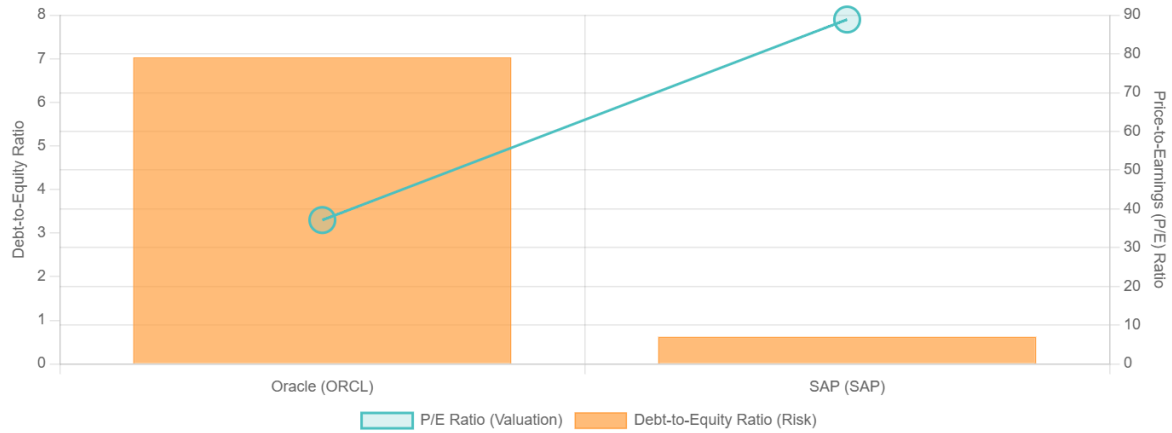
Created by Kenneth Kim based on the data.

Appendix C

Appendix C: Risk vs. Reward Matrix

Leverage (Debt/Equity) vs. Valuation (P/E Ratio)

Opportunity: Low P/E



Analysis Point: Oracle carries significantly higher risk (D/E 7.03) compared to SAP (0.62). However, the market prices Oracle much cheaper (P/E 37.11 vs 88.88), suggesting the high leverage is funding growth that is not yet fully priced in.

Figure 3. Leverage vs. Valuation Comparison: Oracle (ORCL) vs. SAP (SAP).

Note. Calculation based on Oracle Corporation 2025 Form 10-K and SAP SE 2024 20-F.

Created by Kenneth Kim based on the data.